In these economies, resources are owned by individuals and the government. India, England, France and Brazil are the examples of mixed economy.

Features of Mixed Economy

1. **Ownership of Property and Means of Production:** The means of production and properties are owned by both private sector and public sector. Public and Private sectors have the right to purchase, use or transfer their resources.
2. **Coexistence of Public and Private Sectors:** In mixed economies, both private and public sectors coexist. Private industries undertake activities primarily for profit. Public sector firms are owned by the government with a view to maximize social welfare.
3. **Economic Planning:** The central planning authority prepares the economic plans. National plans are drawn up by the Government and both private and public sectors abide. In general, all sectors of the economy function according to the objectives, priorities and targets laid down in the plan.
4. **Solution to Economic Problems:** The basic problems of what to produce, how to produce, for whom to produce and how to distribute are solved through the price mechanism as well as state intervention.
5. **Freedom and Control:** Though private sector has freedom to own resources, produce goods and services and distribute the same, the overall control on the economic activities rests with the government.

Merits of Mixed Economy

1. **Rapid Economic Growth:** The best advantage of mixed economy is that it promotes rapid economic growth. Thus, both public requirements and private needs are taken care of.

2. **Balanced Economic Growth:** Mixedism promotes balanced growth of the economy. It promotes balanced growth between agriculture and industry, consumer goods and capital goods, rural and urban areas etc.

3. **Proper Utilization of Resources:** In a mixed economy, the government can ensure proper utilization of resources. The government controls most of the important activities directly and the private sector indirectly.

4. Economic Equality: The government uses progressive rates of taxation for levying income tax to bring about economic equality.

5. **Special Advantages to the Society:** The government safeguards the interest of the workers and weaker sections by legislating on minimum wages, and rationing, establishing fair price shops and formulating social welfare measures.

Demerits of Mixed Economy

1. **Lack of Coordination:** The greatest drawback of mixedism is lack of coordination between public sector and private sector. As both work with divergent motives, it creates many coordination related problems.

12-Economics-Chapter_1.indd 9 23-12-2022 14:41:38